

for a solid waste convention complete with booths and slides—imagine how attractive that must have been. Anyway, instead of the usual blue cotton button-down shirts that I see day after day, they were wearing polo shirts that said “Solid Waste.” Who would put on shirts like that, unless it was the Solid Waste bowling team? These are the kind of executives you dream about.

As you already know if you were fortunate enough to have bought some, Waste Management, Inc. is up about a hundredfold.

Waste Management is a better prospect even than Safety-Kleen because it has two unthinkables going for it: toxic waste itself, and also the Mafia. Everyone who fantasizes that the Mafia runs all the Italian restaurants, the newsstands, the dry cleaners, the construction sites, and the olive presses also probably thinks that the Mafia controls the garbage business. This fantastic assertion was a great advantage to the earliest buyers of shares in Waste Management, which as usual were underpriced relative to the actual opportunity.

Maybe the rumors of the Mafia in waste management kept away the same investors who worried about the Mafia in hotel/casino management. Remember the dreaded casino stocks that are now on everybody’s buy list? Respectable investors weren’t supposed to touch them because the casinos allegedly were all Mafia. Then the earnings exploded and the profits exploded, and the Mafia faded into the background. When Holiday Inn and Hilton got into the casino business, it suddenly was all right to own casino stocks.

(7) THERE’S SOMETHING DEPRESSING ABOUT IT

In this category my favorite all-time pick is Service Corporation International (SCI), which also has a boring name. I got this pick from George Vanderheiden, the onetime Fidelity electronics analyst who’s done a great job running the Fidelity Destiny Fund.

Now, if there’s anything Wall Street would rather ignore besides toxic waste, it’s mortality. And SCI does burials.

For several years this Houston-based enterprise has been going around the country buying up local funeral homes from the mom-and-pop owners, just as Gannett did with the small-town newspapers. SCI has become a sort of McBurial. It has picked up the active funeral parlors that bury a dozen or more people a week, ignoring the smaller one-or two-burial parlors.

At last count the company owned 461 funeral parlors, 121 cemeteries, 76 flower shops, 21 funeral product-and-supply manufacturing centers, and 3 casket distribution centers, so they’re vertically integrated. They broke into the big-time when they buried Howard Hughes.

They also pioneered the pre-need policy, a layaway plan that’s been very